# Candlesticks with context

Understand price bars, context and invalidation without turning patterns into promises.

TRADING GUIDES | BEGINNER

## 01 / What a candle actually tells you

A candle summarises the open, high, low and close for a selected interval. The body spans open to close; the wicks show the range outside it. Colour is a chart convention. One candle does not reveal every transaction or the reason behind it.

Changing the interval changes the picture. A strong five-minute candle can be a small fluctuation inside a daily downtrend. Define the timeframe before interpreting a pattern.

## 02 / Location changes interpretation

Read a candle alongside the prevailing trend, nearby levels, liquidity and recent volatility. A long lower wick after a decline may show a rejection of lower prices during that interval, but it does not ensure a reversal.

Support and resistance are areas where market behaviour may change, not barriers prices must respect. Avoid drawing so many levels that every outcome appears predicted.

MAKE IT PRACTICAL
Choose a historical chart. Mark the trend, two relevant price areas and the range of recent candles before naming any pattern.

## 03 / Use confirmation and invalidation

A pattern is a hypothesis. Define what subsequent price action would support it and what would invalidate it. Entering without an invalidation rule leaves the loss decision to emotion.

Volume can add context but data definitions vary by instrument and platform. Compare like with like. Confirmation can reduce some false signals while also producing later entries; it does not remove risk.

- Context: trend and meaningful price area.
- Trigger: a condition that can be checked.
- Invalidation: where the idea no longer applies.
- Risk: size and an allowance for slippage.

## 04 / Evaluate examples honestly

Study failed patterns alongside successful ones. A chart chosen after the event makes a signal look cleaner than it was in real time. Use a consistent rule set and keep results after trading costs.

Backtesting must address look-ahead bias, survivorship bias and changes in liquidity. Paper trading helps practise process, but simulated fills may differ from real execution.

MAKE IT PRACTICAL
Log twenty historical occurrences with the same definition. Record both wins and losses, maximum adverse movement and whether the signal was visible at the time.

## 05 / The chart-reading worksheet

Do not place a trade merely because a candle has a familiar name. Decide whether the context supports a testable plan and whether its risk is acceptable. These notes explain analysis, not a trading signal.

MAKE IT PRACTICAL
Instrument/timeframe | trend | location | trigger | invalidation | planned risk | result | lesson. If any field is missing, the analysis is incomplete.

## Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
Zerodha Varsity modules: https://zerodha.com/varsity/modules/
External references for further learning; their material is not reproduced here.